J.P.Morgan

North America Equity Research
05 August 2026

Caterpillar Inc.

Underappreciated Margin Performance

YTD margin points to FY margin at the high end of the target range; 2030 EPS math going higher. CAT reported EPS 22% above consensus (excluding IEEPA refunds) as sales and margins beat across segments; see bullets below and Figures 1, 2 and 3 for details. 2Q's operating margin even excluding IEEPA refunds was well-above JPMe and consensus. Despite expected YoY sales moderation in 2H26, we see potential for EBIT margin to be near the high end of the target range of 19-23% vs. guidance of 'near the bottom end'. We now see potential for $60+ EPS in 2030 driven by the ongoing upcycle in CI/RI/P&E. We believe CAT should receive a multi-industry multiple once the capacity expansion is largely done, considering the structurally improved and resilient margin profile and the potential for parts/services accelerating after 2030 from the installed prime power base (see our BTM vs. FTM deep-dive). Hence, we are raising our estimates with FY26 and FY27 EPS at $28.38 and $32.16, respectively. **We are lowering our Dec 26 PT to $1,100 (from $1,165 prior) to reflect the recent market pullback. This PT reflects ~23x FY30 EPS, discounted back to Dec 26.** We rate CAT Overweight. Below are key highlights from the earnings conference call.

- **Data center demand continues to extend P&E visibility.** Management positioned the restarted 10MW medium-speed gas reciprocating engine platform as additive to the 65GW capacity plan, not included in the original target, with ~1.5GW of capacity coming back online, first shipments expected in 4Q26, and a ramp over the next ~18 months. The platform was previously marine-focused, but CAT has completed gas engine development for power generation and sees the product as well suited for prime power, fitting between the high end of high-speed reciprocating engines and the low end of industrial turbines. The restart requires minimal investment given the existing supply base and internal capacity/capability, with first orders already in hand prior to the decision to resume production. Data center demand remains a major driver for P&E, with power generation STUs up 72% in 2Q on strong demand for large gensets and turbines used in data center applications. Management noted that customers are not slowing down and are asking for more units if CAT can produce them, with backlog extending further as some customers place orders into 2029/2030. Gas prime lead times are extending toward late 2028 and into 2029, turbines are a little further out, and diesel standby orders extend well into 2028, with traditional grid-connected data centers still heavily using diesel gensets for backup and BTM gas solutions sometimes including gas redundancy depending on the project. Importantly, management framed the capacity case as broader than data centers, supported by O&G, gas compression, mining, marine, and aftermarket growth objectives. O&G backlog was up nearly 2x YoY at quarter-end, large engines and turbines support a growing installed base, and services opportunities from prime power deployments should build over time, with the largest overhaul-related opportunities mostly beyond 2030. Backlog grew $9B sequentially to $72B, up ~$35B or 92% YoY, with all three primary segments contributing. Note, 59% of the backlog is expected to be delivered over the next 12 months, a percentage management says has been fairly stable over the past three quarters, while strong order rates and a broadening backlog support stronger FY26 growth

Overweight

ANALYST FOCUS LIST

CAT, CAT US
Price (04 Aug 26):$876.54

▼**Price Target (Dec-26):$1,100.00**
Prior (Dec-26):$1,165.00

Machinery, Engineering & Construction

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E ($)	25.12	28.38	13.0%
Adj. EPS - 27E ($)	30.42	32.16	5.7%
Adj. EBITDA - 26E ($ mn)	16,830	18,197	8.1%
Adj. EBITDA - 27E ($ mn)	20,091	21,045	4.7%

Quarterly Forecasts (FYE Dec)

Adj. EPS ($)

	2025A	2026E	2027E
Q1	4.25	5.54A	
Q2	4.72	8.17A	
Q3	4.94	7.32	
Q4	5.16	7.36	
FY	19.07	28.38	32.16

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	87	84	75	68	70
Growth	70	55	22	22	30
Momentum	12	17	42	31	30
Quality	6	18	29	48	53
Low Vol	30	24	19	27	21
ESGQ	34	32	21	63	49

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 9 for analyst certification and important disclosures.

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Price Performance

	YTD	1m	3m	12m
Abs	53.0%	-9.0%	0.2%	102.1%
Rel	40.0%	-12.4%	-7.2%	79.9%

Company Data

Shares O/S (mn)	507
52-week range ($)	1,073.46-405.46
Market cap ($ mn)	444,405.80
Exchange rate	1.00
Free float (%)	99.8%
3M ADV (mn)	3.18
3M ADV ($ mn)	2,927.9
Volatility (90 Day)	49
Index	S&P 500
BBG ANR (Buy | Hold | Sell)	16|11|0

Key Metrics (FYE Dec)

$ in millions	FY25A	FY26E	FY27E
Financial Estimates			
Revenue	67,589	79,605	87,600
Adj. EBITDA	13,958	18,197	21,045
Adj. EBIT	11,696	15,490	17,731
Adj. net income	9,004	13,058	14,258
Adj. EPS	19.07	28.38	32.16
BBG EPS	18.66	24.77	30.51
Cashflow from operations	12,278	15,132	17,470
FCFF	9,912	12,061	14,399
Margins and Growth			
Revenue Growth Y/Y (%)	4.3%	17.8%	10.0%
EBITDA margin	20.7%	22.9%	24.0%
EBITDA Growth Y/Y (%)	(12.3%)	30.4%	15.6%
EBIT margin	17.3%	19.5%	20.2%
Net margin	13.3%	16.4%	16.3%
Adj. EPS growth	(13.0%)	48.8%	13.3%
Ratios			
Adj. tax rate	24.0%	23.3%	22.8%
Interest cover	27.1	32.4	37.8
Net debt/Equity	0.1	0.2	NM
Net debt/EBITDA	0.1	0.2	(0.1)
ROCE	33.3%	41.0%	43.2%
ROE	53.5%	75.2%	73.5%
Valuation			
FCFF yield	2.4%	3.0%	3.7%
Dividend yield	0.7%	0.7%	0.7%
EV/Revenue	6.6	5.6	5.0
EV/EBITDA	32.0	24.6	21.0
Adj. P/E	46.0	30.9	27.3

Summary Investment Thesis and Valuation

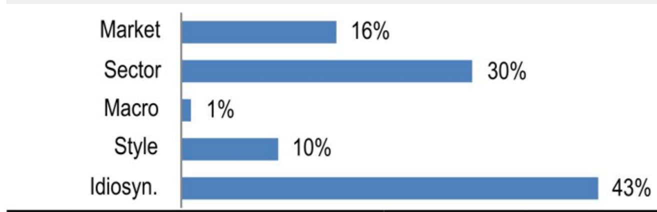
Investment Thesis

We believe CAT's earnings power and FCF conversion continue to merit our Overweight rating and that standing estimates do not fully appreciate management's ability to drive margin improvement cycle on cycle. The company has been able to cut fixed costs by restructuring its Resource business, which should provide earnings upside as volumes push higher. CAT can be regarded as a net beneficiary of recent bouts of material cost inflation to the extent that its customers in mining and oil/gas are better off and looking to spend more on equipment. Additionally, we view CAT as the biggest winner of an extended US construction cycle.

Valuation

We expect CAT to command a multi-industry valuation in the medium term. Hence, our Dec 2026 price target is $1,100 using ~34x FY27 PE and ~27x FY27 EV/EBITDA, considering the upside optionality of gaining market share in both backup and prime power end markets in the next 3-5 years leveraging its recip engines and gas turbines amid the projected grid shortfall. Note that CAT's recip engines and turbines have multiple use cases besides providing prime and backup power to data centers, including mining, marine and O&G.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	0.31	0.35
Sect: Industrials	0.68	0.59
Ind: Capital Goods	0.73	0.64
Macro:		
Crude Oil	-0.23	-0.20
Credit Spread	0.19	0.18
US Dollar	-0.19	-0.16
Quant Styles:		
Growth	-0.66	-0.46
Momentum	0.45	0.28
Size	0.43	0.26

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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across all three primary segments.

- **STUs grew across all three primary segments, led by P&E where STUs increased a robust 33%**, with power generation up 72% on very strong demand for large gensets and turbines used in data center applications. Within P&E, O&G STUs increased 6%, driven by reciprocating engines, turbines, and turbine-related services sold into gas compression applications, while industrial STUs declined due to lower engines sold into marine applications. In CI, STUs increased for the sixth consecutive quarter, up 22%, with North America better than anticipated on very strong rental fleet loading and equipment sold into non-residential and residential construction. Dealer rental revenue continued to grow in North America, requiring more investment in dealer equipment fleets, and rental loading was a positive contributor to STU growth vs. a headwind in 2Q25. Regionally within CI, EMEA STUs increased on strength in Europe and Africa but were below expectations due to Middle East softness, Asia Pacific growth was driven by China but held below expectations by softness outside China, and Latin America grew as anticipated. In RI, STUs increased 17%, in line with expectations, with YoY growth in mining as well as heavy construction and quarry & aggregates, while rail growth was driven by international locomotive deliveries.
- **3Q26 outlook calls for another strong sales growth quarter vs. the prior year, with volume increases and favorable price realization across all three primary segments.** CAT expects enterprise adjusted OP margin to increase YoY, supported by price and volume, partially offset by higher manufacturing costs including depreciation and freight, plus higher SG&A/R&D tied to strategic investments. In P&E, CAT expects strong sales growth vs. the prior year, driven by continued strength in power generation and O&G, modest growth in industrial applications as it recovers, and favorable price realization. Segment margin is expected to increase YoY on stronger volume and price, partially offset by higher manufacturing costs, including depreciation and expenses tied to capacity expansion projects, with SG&A/R&D also higher. In CI, expect strong sales growth vs. the prior year, mainly due to higher sales volume on strong STUs and favorable price realization; dealer inventory is expected to increase slightly in 3Q but by less than last year, making YoY dealer inventory a modest headwind to sales volume, while segment margin is expected to increase YoY on price and volume, partially offset by higher manufacturing costs including tariffs and freight, plus higher SG&A/R&D from strategic technology investments. In RI, expect strong sales growth vs. the prior year, primarily from higher STUs and services growth, with favorable price realization to a lesser extent than in 2Q. Segment margins are expected to be similar YoY as volume and price are offset by higher manufacturing costs including tariffs, plus higher SG&A/R&D from compensation and technology investments including autonomy. CAT expects 3Q tariff costs of ~$600MM, similar to 3Q25, with ~50% incurred in CI and ~25% each in P&E and RI.
- **FY26 outlook was raised to mid-to-high teens sales growth, supported by strong STU growth across all three primary segments, healthy end markets, strong order rates driving backlog growth, and increased 2H throughput from capacity expansion plans.** CAT expects strong sales growth across each of its primary segments, primarily driven by volume and price, and continues to expect higher 2H sales vs. 1H. However, CI dealer inventory is expected to decline by >$1B in 4Q, with year-end inventory still higher than last year in anticipation of future end-market growth, creating a 2H YoY headwind to CI sales volume. In P&E, management expects FY growth in power generation for both reciprocating engines and Solar Turbines, driven by rising energy demand from data center buildouts tied to cloud computing and generative AI, with prime power demand continuing to trend higher as customers look to CAT turbines and reciprocating engines for power solutions. O&G is expected to grow moderately again after a record 2025, supported by reciprocating engine demand in gas compression, continued momentum in the reciprocating engine aftermarket parts, a healthy Solar

Turbines O&G backlog, and solid order/inquiry activity, while industrial applications are expected to grow moderately. On CI, management continues to expect FY STU growth supported by strong order rates, with North America positive as construction spending remains healthy on IIJA support, critical infrastructure, heavy construction, and data center investment. Dealer rental fleet loading should continue to grow, including additional loading for mega projects in 3Q. Large infrastructure projects are driving growth, data centers provide an ancillary CI benefit, rental loading has become a bigger contributor, and residential/other weaker pockets create potential upside if they improve. Regionally, Europe is expected to remain stable in non-residential construction, Africa strong, the Middle East challenged, Asia Pacific ex-China softer, China moderate with growth in >10-ton excavators off low levels, and Latin America up for the year. In RI, management sees continued positive momentum from robust order rates and strong backlog growth, with FY STUs expected to increase on copper and gold demand and positive heavy construction/quarry & aggregates dynamics. Note that most key commodities remain above investment thresholds, utilization is high, fleet age is elevated, rebuild activity is now expected to increase moderately, and rail services/ locomotive deliveries are expected to grow. On FY margins, CAT now expects adjusted OP margin to be higher than the April outlook; excluding the ~$400MM of 2Q IEEPA tariff recoveries, margin should be near the bottom of the target range at a higher sales level, with price and volume offset by higher manufacturing costs including tariffs, depreciation and freight, plus higher SG&A/R&D from compensation and strategic investment spend. FY26 tariff costs are now expected at ~$2.2B excluding 2Q IEEPA recoveries, the low end of the prior range, with no additional 2H recoveries assumed and no significant 2H tariff impact expected on adjusted OP/margins as CAT laps incremental tariff costs.

- **2Q recap; FY26 guidance updated.** CAT reported a ~32% adjusted EPS beat (~22% beat excluding IEEPA refunds) in 2Q as sales/margins came in above expectations. CAT reported 2Q adjusted EPS of $8.17 vs. consensus $6.17. Consolidated revenue increased ~23% YoY to $20.5B in 2Q (vs. implied guidance of >$16.6B and consensus $19.0B). 2Q performance included adjusted operating margin of 21.9% (or ~20% excluding IEEPA refunds vs. implied guidance >17.8% and consensus 18.7%), up ~420bps YoY. Total dealer inventories increased by ~$0.6B sequentially in 2Q26 (vs. dealer inventories up $0.1B sequentially in 2Q25), with $0.5B of YoY impact to sales in the Q. Orders were up ~59% YoY in the quarter with backlog up sequentially. For the full year, CAT expects to grow sales in the mid- to high-teens %, which implies ~$80B of sales (assuming ~17.5% growth vs. previous growth of LDD% growth YoY and implied consolidated sales of ~$76B vs. consensus $77B), and adj. OP margin (excluding IEEPA tariff recoveries) near the bottom end of the annual target range (implying ~19% and consensus 18.5%) implying adj. OP of ~$15B (vs. consensus $14.2B). 2026 tariff costs are expected to be in the range of $2.2B excluding IEEPA tariff recoveries (vs. prior $2.2-2.4B). The updated FY26 guidance at the midpoint implies 2H revenue up ~13% YoY to $41.6B (vs. consensus $40.4B) and adj. OP up ~23% YoY to $7.5B (vs. consensus $7.5B) at a margin of 18.0% vs. consensus at 18.5%.

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Figure 1: CAT Variance Analysis – ME&T

CAT Variance Analysis - MP&E	2Q26	2Q26	2Q26	Actual	Actual	Actual	Actual
($ in millions except per share data)	*Actual*	*JPMe*	*Consensus*	*YoY*	*QoQ*	*vs. JPMe*	*vs. Consensus*
Machinery, Engines & Transportation (ME&T)							
Construction Industries	8,346	7,368		35%	17%	13%	
Resource Industries	4,648	4,156		20%	22%	12%	
Power & Energy	8,238	7,873		17%	17%	5%	
All Other segments	84	113		-1%	9%	-25%	
Corporate Items and Eliminations	(1,735)	(1,643)					
MP&E Sales	**19,581**	**17,867**	**18,127**	**25%**	**19%**	**10%**	**8%**
COGS	12,783	12,277		18%	13%	4%	
Gross Profit	6,798	5,590		40%	32%	22%	
Gross Margin	*34.7%*	*31.3%*		*3.7%*	*3.4%*	*3.4%*	
Incremental Gross Margin	*49.5%*	*31.2%*					
Segment Operating Profit							
Construction Industries	1,947	1,542		57%	27%	26%	
Resource Industries	693	563		23%	83%	23%	
Power & Energy	2,027	1,753		30%	40%	16%	
All Other segments	0	(6)		#DIV/0!	100%	NM	
Corporate Items and Eliminations	(453)	(357)		20%	-41%	-27%	
MP&E Operating Profit	**4,214**	**3,495**	**3,496**	**51%**	**41%**	**21%**	**21%**
Segment Operating Margins							
Construction Industries	23.3%	20.9%		*3.2%*	*1.9%*	*2.4%*	
Resource Industries	14.9%	13.6%		*0.4%*	*5.0%*	*1.4%*	
Power & Energy	24.6%	22.3%		*2.5%*	*4.0%*	*2.3%*	
All Other segments	0.0%	-5.0%		*0.0%*	*55.8%*	*5.0%*	
MP&E Operating Margin	**21.5%**	**19.6%**	**19.3%**	***3.7%***	***3.3%***	***2.0%***	***2.2%***
In/Decremental Operating Margins							
Construction Industries	*33%*	*25%*					
Resource Industries	*17%*	*0%*					
Power & Energy	*39%*	*24%*					
MP&E In/Decremental Operating Margin	***36%***	***30%***	***27%***				

Source: Company reports, Bloomberg Finance L.P., J.P. Morgan estimates

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Figure 2: CAT Variance Analysis – Consolidated

CAT Variance Analysis - Consolidated ($ in millions except per share data)	2Q26 Actual	2Q26 JPMe	2Q26 Consensus	Actual YoY	Actual QoQ	Actual vs. JPMe	Actual vs. Consensus
Machinery, Engines & Transportation (ME&T)							
MP&E - Operating Profit	4,214	3,495					
Net Interest Expense	141	142		8%	1%	0%	
Other Income	163	99		261%	65%	NM	
Profit Before Taxes	4,236	3,453		65%	43%	23%	
Income Taxes	963	794		65%	59%	21%	
Implied tax rate	*22.7%*	*23.0%*					
MP&E - Profit After Tax	**3,273**	**2,659**		**65%**	**39%**	**23%**	
Financial Products							
Non-consolidated revenues	1,188	1,240	1,160	10%	4%	-4%	2%
Consolidated revenues	*962*	*1,195*	*983*	*7%*	*2%*	*-19%*	*-2%*
SG&A	223	236		9%	0%	-5%	
Net interest expense	374	386		9%	5%	-3%	
Other operating expenses	328	356		3%	0%	-8%	
Operating Profit	**263**	**262**	**248**	**22%**	**11%**	**0%**	**6%**
Operating margin	*22.1%*	*21.2%*	*21.4%*	*2.2%*	*1.4%*	*1.0%*	*0.8%*
Other income	59	48					
Profit before taxes	322	310		25%	27%	4%	
Income taxes	92	71		51%	46%	29%	
Financial Products - Profit After Tax	**230**	**239**		**17%**	**21%**	**-4%**	
Consolidated							
Consolidated Revenues	20,543	19,062	19,010	24%	18%	8%	8%
Adjusted Operating Profit	4,497	3,629	3,564	52%	44%	24%	26%
% Margin	*21.9%*	*19.0%*	*18.7%*	*4.1%*	*3.9%*	*2.8%*	3.1%
Profit Before Taxes	4,558	3,763	3,691	62%	42%	21%	
Consolidating adjustments	*0*	*0*					
Provision for taxes	1,055	866		63%	57%	22%	
Implied tax rate	*23.1%*	*23.0%*	*22.9%*				
Profit of consolidated companies	3,503	2,898		61%	38%	21%	
Equity in profit of unconsolidated companies	90	1					
Profit of noncontrolling interest	0	0					
Net Income - Reported	**3,593**	**2,899**	**2,844**	**65%**	**41%**	**24%**	
Non-Recurring Items	187	11					
Net Income - Adjusted	**3,780**	**2,910**	**2,851**	**70%**	**46%**	**30%**	**33%**
EPS - Reported	**$7.77**	**$6.32**		**68%**	**42%**	**23%**	
Non-Recurring Items	$0.40	$0.02					
EPS - Adjusted	**$8.17**	**$6.34**	**$6.17**	**73%**	**47%**	**29%**	**32%**
Avg shares outstanding -- Basic	460.4	456.7		-2%	-1%	1%	
Avg shares outstanding - Diluted	*462.5*	*458.9*	*463.2*	*-2%*	*-1%*	*1%*	*0%*
Backlog / Orders							
Ending Backlog	72,100			92%	15%		
Net Orders (Implied)	28,981			59%	4%		

Source: Company reports, Bloomberg Finance L.P., J.P. Morgan estimates

Figure 3: CAT Guidance vs. Consensus Prior to Print & JPMe

2026 Guidance & Expectations	CAT Jan'26	CAT Apr'26	CAT Aug'26	Prior Consensus	JPMe
Consolidated Sales	Around top end of ~5-7% CAGR target (~$72B implied)	Growth of low DD% (~$76B implied, assuming ~12% growth)	Mid-to-high teens % growth (~$79.4B implied, assuming ~17.5% growth)	$76.6B	$79.6B
Total Tariffs	$2.6B	$2.2-2.4B	$2.2B (excluding IEEPA tariff recoveries)		$1.2B
Adj. OP (ex IEEPA tariff recoveries)	~$12.96B	~$14B	~$15B	$14.2B	
Adj. OP Margin (ex IEEPA tariff recoveries)	~18% (implied)	~18.5% (implied)	~19% (implied)	18.5%	19.5%
Tax rate	23.0%	23.0%	23.0%		22.7%
EPS (GAAP)	n/a	n/a	n/a		
EPS (Adjusted)	**n/a**	**n/a**	**n/a**	**$24.77**	**$28.38**
Restructuring costs	$300-350MM	$300-350MM	$300-350MM		
Capex	$3.5B	$3.5B	$3.5B		$3.5B
MP&E Free Cash Flow	Slightly lower vs. 2025 (implies <$9.5B)	Higher vs. 2025 (implies >$9.5B)	Top half of the annual target range (implies >$10.5B)		$11.6B
Next quarter sales	Stronger YoY (>$14.2B implied)	Higher YoY (>$16.6B implied)	Strong YoY growth (>$17.6B implied)	$19.5B	$20.7B
Next quarter adj. OP Margin (inclu. Tariffs)	Lower YoY (<18.3% implied)	Higher YoY (>17.8% implied)	Higher YoY (>17.7% implied)	19.2%	20.1%
Next quarter tariff cost headwind	~$800MM	~$700MM	Similar YoY (implies ~$550MM)		

Source: Company reports, Bloomberg Finance L.P., and J.P. Morgan estimates

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Investment Thesis, Valuation and Risks

Caterpillar Inc. *(Overweight; Price Target: $1,100.00)*

Investment Thesis

We believe CAT's earnings power and FCF conversion continue to merit our Overweight rating and that standing estimates do not fully appreciate management's ability to drive margin improvement cycle on cycle. The company has been able to cut fixed costs by restructuring its Resource business, which should provide earnings upside as volumes push higher. CAT can be regarded as a net beneficiary of recent bouts of material cost inflation to the extent that its customers in mining and oil/gas are better off and looking to spend more on equipment. Additionally, we view CAT as the biggest winner of an extended US construction cycle.

Valuation

We expect CAT to command a multi-industry valuation in the medium term. Hence, our Dec 2026 price target is $1,100 using ~34x FY27 PE and ~27x FY27 EV/EBITDA, considering the upside optionality of gaining market share in both backup and prime power end markets in the next 3-5 years leveraging its recip engines and gas turbines amid the projected grid shortfall. Note that CAT's recip engines and turbines have multiple use cases besides providing prime and backup power to data centers, including mining, marine and O&G.

CAT Valuation Matrix	2023	2024	2025	2026E	2027E
Consolidated EPS	$21.20	$21.92	$19.07	$28.38	$32.16
PE	41.6x	40.2x	46.2x	31.1x	27.4x
Equipment EBITDA ($MM)	14,020	14,466	12,380	16,769	18,430
EV/EBITDA	29.2x	28.3x	33.0x	24.4x	22.2x
Price Target				$1,100	
PE	51.9x	50.2x	57.7x	38.8x	34.2x
PEG	1.0x	14.9x	-4.4x	0.8x	2.6x
EV/EBITDA	35.9x	34.8x	40.6x	30.0x	27.3x
Upside/(Downside) to Target Price				**25%**	
	2023	**2024**	**2025**	**2026E**	**2027E**
Equipment OCF ($MM)	11,688	11,437	12,278	15,132	17,470
Equipment Capex ($MM)	(1,624)	(1,952)	(2,758)	(3,502)	(3,500)
Equipment Free Cash Flow ($MM)	10,064	9,485	9,520	11,630	13,970
Share count (MM)	513.5	488.9	472.1	460.2	443.4
Free Cash Flow / Share	$19.60	$19.40	$20.17	$25.27	$31.51
Current Free Cash Flow Yield	2.2%	2.2%	2.3%	2.9%	3.6%
Discount / Premium to Avg SPX FCF Yield (since 2008)	-2.7%	-2.7%	-2.7%	-2.1%	-1.4%
FY1 FCF Yield at Target Price				**2.9%**	
CAT's Avg FCF Yield since 2008				5.5%	

Source: Company reports, Bloomberg Finance L.P., J.P. Morgan estimates

Risks to Rating and Price Target

Downside risks. Slower than expected global GDP growth could result in lower demand for CAT's products, especially in mining. Capital discipline from oil/gas customers may weigh on demand for drilling, well completion, and infrastructure equipment despite supportive commodity prices. Lower revenues this cycle could result in disappointing operating margins relative to management's target for 300-700bps margin expansion cycle on cycle. Residential construction indicators are weak, which could shorten the duration of non-residential construction spending acceleration. Any abrupt slowdown in data center growth could render our estimates too high as well.

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Caterpillar Inc.: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**64,809**	**67,589**	**79,605**	**87,600**	**-**
COGS	(40,206)	(44,761)	(50,855)	(55,466)	-
Gross profit	**21,157**	**19,218**	**24,546**	**26,807**	**-**
SG&A	(6,652)	(7,012)	(7,580)	(7,850)	-
Adj. EBITDA	**15,911**	**13,958**	**18,197**	**21,045**	**-**
D&A	(2,153)	(2,262)	(2,707)	(3,313)	-
Adj. EBIT	**13,758**	**11,696**	**15,490**	**17,731**	**-**
Net Interest	(518)	(516)	(562)	(556)	-
Adj. PBT	**13,388**	**11,553**	**15,737**	**17,772**	**-**
Tax	(2,629)	(2,768)	(3,665)	(4,057)	-
Minority Interest	4	2	3	3	-
Adj. Net Income	**10,716**	**9,004**	**13,058**	**14,258**	**-**
Reported EPS	22.07	18.82	27.38	31.09	-
Adj. EPS	**21.92**	**19.07**	**28.38**	**32.16**	**-**
DPS	**5.53**	**5.94**	**6.04**	**6.38**	**-**
Payout ratio	25.1%	31.6%	22.1%	20.5%	-
Shares outstanding	489	472	460	443	-

Income Statement - Quarterly	1Q26A	2Q26A	3Q26E	4Q26E
Revenue	**17,415A**	**20,543A**	**20,662**	**20,985**
COGS	(11,308)A	(12,783)A	(13,257)	(13,507)
Gross profit	**5,165A**	**6,798A**	**6,262**	**6,321**
SG&A	(1,831)A	(2,023)A	(1,830)	(1,896)
Adj. EBITDA	**3,721A**	**4,961A**	**4,786**	**4,730**
D&A	(595)A	(616)A	(748)	(748)
Adj. EBIT	**3,126A**	**4,345A**	**4,038**	**3,982**
Net Interest	(140)A	(141)A	(140)	(140)
Adj. PBT	**3,211A**	**4,406A**	**4,250**	**3,871**
Tax	(670)A	(1,055)A	(1,009)	(931)
Minority Interest	1A	0A	1	1
Adj. Net Income	**2,581A**	**3,780A**	**3,354**	**3,343**
Reported EPS	5.47A	7.77A	7.32	6.83
Adj. EPS	**5.54A**	**8.17A**	**7.32**	**7.36**
DPS	**1.51A**	**1.51A**	**1.51**	**1.51**
Payout ratio	27.6%A	19.4%A	20.6%	22.1%
Shares outstanding	466A	463A	458	454

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	6,165	9,333	8,799	14,653	-
Accounts receivable	3,463	3,883	3,423	3,730	-
Inventories	16,827	18,135	19,857	21,512	-
Other current assets	2,872	2,448	2,691	2,933	-
Current assets	**29,327**	**33,799**	**34,770**	**42,827**	**-**
PP&E	9,531	10,985	12,524	12,524	-
LT investments	-	-	-	-	-
Other non current assets	13,784	15,277	16,456	14,392	-
Total assets	**52,642**	**60,061**	**63,750**	**69,743**	**-**
Short term borrowings	46	35	35	35	-
Payables	7,619	8,988	8,942	9,687	-
Other short term liabilities	12,291	13,644	14,974	16,251	-
Current liabilities	**19,956**	**22,667**	**23,951**	**25,974**	**-**
Long-term debt	8,731	10,955	12,241	12,241	-
Other long term liabilities	7,734	8,999	10,250	10,050	-
Total liabilities	**36,421**	**42,621**	**46,442**	**48,265**	**-**
Shareholders' equity	16,221	17,440	17,308	21,479	-
Minority interests	-	-		-	-
Total liabilities & equity	**52,642**	**60,061**	**63,750**	**69,743**	**-**
BVPS	**33.35**	**37.11**	**37.79**	**48.68**	**-**
y/y Growth	*5.9%*	*11.3%*	*1.8%*	*28.8%*	-
Net debt/(cash)	2,612	1,657	3,477	(2,377)	-
Cash flow from operating activities	**11,437**	**12,278**	**15,132**	**17,470**	**-**
o/w Depreciation & amortization	1,368	1,497	1,802	1,802	-
o/w Changes in working capital	(187)	(759)	(1,681)	(181)	-
Cash flow from investing activities	**133**	**(2,870)**	**(4,395)**	**(3,500)**	**-**
o/w Capital expenditure	(1,952)	(2,758)	(3,502)	(3,500)	-
as % of sales	*3.0%*	*4.1%*	*4.4%*	*4.0%*	-
Cash flow from financing activities	**(10,385)**	**(6,133)**	**(12,401)**	**(9,814)**	**-**
o/w Dividends paid	(2,646)	(2,749)	(2,770)	(2,814)	-
o/w Net debt issued/(repaid)	(1,032)	1,906	(116)	0	-
Net change in cash	**1,091**	**3,217**	**(1,709)**	**4,155**	**-**
Adj. Free cash flow to firm	**9,901**	**9,912**	**12,061**	**14,399**	**-**
y/y Growth	*(5.4%)*	*0.1%*	*21.7%*	*19.4%*	-

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	32.6%	28.4%	30.8%	30.6%	-
EBITDA margin	24.6%	20.7%	22.9%	24.0%	-
EBIT margin	21.2%	17.3%	19.5%	20.2%	-
Net profit margin	16.5%	13.3%	16.4%	16.3%	-
ROE	66.4%	53.5%	75.2%	73.5%	-
ROA	20.2%	16.0%	21.1%	21.4%	-
ROCE	43.6%	33.3%	41.0%	43.2%	-
SG&A/Sales	10.3%	10.4%	9.5%	9.0%	-
Net debt/equity	0.2	0.1	0.2	NM	-
P/E (x)	40.0	46.0	30.9	27.3	-
P/BV (x)	26.3	23.6	23.2	18.0	-
EV/EBITDA (x)	28.1	32.0	24.6	21.0	-
Dividend Yield	0.6%	0.7%	0.7%	0.7%	-
Sales/Assets (x)	1.2	1.2	1.3	1.3	-
Interest cover (x)	30.7	27.1	32.4	37.8	-
Operating leverage	(0.03)	(3.49)	1.82	1.44	-
Revenue y/y Growth	(3.4%)	4.3%	17.8%	10.0%	-
EBITDA y/y Growth	0.1%	(12.3%)	30.4%	15.6%	-
Tax rate	19.6%	24.0%	23.3%	22.8%	-
Adj. Net Income y/y Growth	(1.6%)	(16.0%)	45.0%	9.2%	-
EPS y/y Growth	3.4%	(13.0%)	48.8%	13.3%	-
DPS y/y Growth	10.6%	7.4%	1.7%	5.6%	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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Caterpillar Inc. (CAT, CAT US) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 01, 1999. All share prices are as of market close on the previous business day.

Date	Rating	Price ($)	Price Target ($)
16-Oct-23	OW	267.94	320
31-Oct-23	OW	242.16	290
05-Jan-24	OW	286.10	345
06-Feb-24	OW	321.40	385
16-Apr-24	OW	363.91	435
14-Oct-24	OW	402.02	500
09-Dec-24	OW	395.03	515
30-Jan-25	OW	393.23	490
14-Apr-25	OW	293.45	380
03-Jun-25	OW	344.67	395
10-Jul-25	OW	402.18	475
06-Aug-25	OW	434.23	520
29-Aug-25	OW	434.91	505
14-Oct-25	OW	504.76	650
30-Oct-25	OW	585.49	730
14-Jan-26	OW	636.53	740
29-Jan-26	OW	643.28	765
04-Mar-26	OW	722.18	860
01-May-26	OW	890.11	1,125
17-Jun-26	OW	945.46	1,165

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